

OWNER'S REPRESENTATIVE ENGAGEMENT LETTER

TELOS · CUSTOM HOME REPRESENTATION · AUSTIN, TEXAS

This Owner's Representative Engagement Letter (the "Agreement") is entered into as of [EFFECTIVE DATE] by and between Victory Formations Ventures LLC, a Texas limited liability company with its principal place of business at 3004 Webberville Rd #2, Austin, TX 78702, doing business as Victory Formation Ventures ("VFV" or the "Owner's Rep"), and [CLIENT NAME] of [CLIENT ADDRESS] (the "Client"). VFV and the Client are each a "Party" and together the "Parties." This Agreement governs VFV's engagement to act as the Client's Owner's Representative for the Client's custom home project located at [PROJECT ADDRESS] (the "Project").

1. ENGAGEMENT AND ROLE OF OWNER'S REPRESENTATIVE

The Client engages VFV, and VFV accepts the engagement, to serve as the Client's Owner's Representative in connection with the Project on the terms set forth in this Agreement. In that capacity VFV will represent the Client's interests in dealings with the architect, designer, builder, contractors, suppliers, and other Project participants, and will provide the management, coordination, and oversight services described in Section 2.

VFV is not the architect, designer, engineer, builder, general contractor, subcontractor, or supplier on the Project, does not perform construction work, and does not act as the Client's real estate broker in connection with this engagement. All Project decisions, including selection of the architect, designer, builder, finishes, materials, scope, budget, and schedule, are made solely by the Client. VFV provides recommendations, analysis, coordination, and oversight; the Client is responsible for its own decisions and their consequences.

VFV will perform its services with the reasonable skill and care of an owner's representative engaged on similar projects in the Austin and Central Texas market. The Parties expressly agree that this is the sole standard of performance for VFV under this Agreement and that no broader duty or warranty, express or implied, applies.

2. SCOPE OF SERVICES

Pre-construction: coordinate the interview, vetting, and selection process for the architect, designer, builder, and any other consultants the Client elects to engage; review proposed builder fees, contracts, and pricing structures and provide recommendations before any agreement is executed by the Client; evaluate each prospective builder's quality-control systems and project-management platforms and report findings to the Client; assist the Client in establishing a project budget, schedule, and finish-level expectations.

Construction: serve as the Client's primary point of contact for the architect, designer, builder, and trades and act as the communication buffer between the Client and the Project team; coordinate, attend, and document key Project meetings, record meetings the Client cannot attend live, and copy the Client on all material written communications; review draws, change orders, allowances, and invoices and provide recommendations before the Client authorizes payment, with the Client retaining sole authority to approve and release funds; conduct periodic site walks and report progress, risks, and decision points; coordinate punch-list completion and assist the Client in obtaining the Certificate of Occupancy ("CO").

Exclusions: this Agreement does not cover land acquisition, brokerage representation, legal services, architectural or engineering services, interior design services, or construction lending advice. If the Client wishes to engage VFV's land acquisition team or any other VFV division, a separate written agreement will govern those services and any associated fees.

3. FEES AND PAYMENT

Fee structure: in consideration of the services described in Section 2, including pre-construction services, the Client shall pay VFV an Owner's Rep fee equal to five percent (5%) of the Hard Build Cost (the "Owner's Rep Fee"). No separate pre-construction fee applies.

"Hard Build Cost" means the total cost of constructing the Project, comprising construction materials (including landscaping and hardscape materials installed as part of the Project), construction labor, and site preparation work. Hard Build Cost expressly excludes architect, designer, and engineer fees; the builder's fee and any general contractor overhead, profit, or contingency line items; interest on construction or other financing; real estate taxes; title, closing, and recording costs; and insurance premiums.

Payment schedule: the Owner's Rep Fee is earned and payable in approximately equal monthly installments over the construction period. The first installment is due upon commencement of demolition (or, if no demolition is required, upon the first day of site work), and the final installment is due upon issuance of the CO. The Parties may agree in writing to align installments with builder draw cycles. Fees are payable by check or ACH within fifteen (15) days of each invoice. Amounts not paid within thirty (30) days of invoice accrue interest at the lesser of 1.5% per month or the maximum rate permitted by Texas law.

Adjustments: if the final Hard Build Cost differs from the estimate used for installment sizing, the Parties will true-up the Owner's Rep Fee at CO based on actual Hard Build Cost. If the Project is terminated or paused before CO, fees are owed through the effective date of termination as set out in Section 11.

4. DECISION-MAKING AUTHORITY

All Project decisions, including selection of vendors, approval of designs, approval of materials and finishes, authorization of change orders, approval of draws and payments, and acceptance of completed work, are made solely by the Client. VFV will provide recommendations, analysis, and options, but has no authority to bind the Client, commit the Client's funds, sign contracts on behalf of the Client, or accept delivery of work on the Client's behalf, except to the extent the Client gives VFV specific written authorization for a defined action.

The Client acknowledges that VFV's recommendations are advisory. The Client is responsible for performing its own diligence, obtaining independent legal, financial, tax, insurance, engineering, and architectural advice as the Client deems necessary, and for evaluating and accepting the risk of any decision.

5. COMMUNICATION PROTOCOL

Unless the Parties expressly agree otherwise in writing, all routine Project communication between the Client and the architect, designer, builder, and trades will flow through VFV. VFV will copy the Client on material written communications and will invite the Client to all interview and major-decision meetings. The Client is welcome to communicate directly with any Project vendor, but is encouraged to copy VFV. Where the Client deals directly with vendors without notifying VFV, VFV is not responsible for any consequences arising from that direct communication.

6. INDEPENDENT CONTRACTOR; NO AGENCY

VFV is an independent contractor. Nothing in this Agreement creates an employment, partnership, joint venture, franchise, or agency relationship between the Parties. Neither Party has authority to bind the other. VFV is solely responsible for its own taxes, withholdings, benefits, and insurance with respect to its personnel.

7. CONFIDENTIALITY AND PRIVACY

Without the Client's prior written consent, VFV will not disclose the Client's identity, the Project address, floor plans, finishes, budget, or other identifying details to any third party that does not have a need to know in connection with the Project. At the Client's request, the Parties will execute a separate non-disclosure agreement, and the Client may direct VFV to enter into reasonable confidentiality covenants with Project vendors.

These obligations do not apply to information that is or becomes publicly available through no breach of this Agreement, is independently developed by VFV, was rightfully known to VFV before disclosure, or is required to be disclosed by law, provided VFV gives the Client prompt notice where lawful.

Marketing and social media: VFV will not post, publish, or otherwise market the Project, including by reference to the address, photographs, floor plans, or the Client's identity, without the Client's prior written consent. Permissions may be revoked at any time on written notice.

8. NO LEGAL, ENGINEERING, OR ARCHITECTURAL ADVICE

VFV does not provide legal, accounting, tax, engineering, architectural, surveying, geotechnical, environmental, real estate brokerage (in connection with this engagement), insurance, or financial advice. Any input from VFV on these subjects is for general informational purposes only and is not a substitute for advice from a licensed professional.

9. LIMITATION OF LIABILITY; NO WARRANTY

The Client acknowledges that VFV does not perform construction work, does not design the Project, and does not control the schedule, means, methods, sequence, or quality of the work performed by any third party. VFV makes no representation, warranty, or guarantee, express or implied, regarding the Project's cost, schedule, quality, code compliance, marketability, fitness for any particular purpose, or any other outcome.

To the maximum extent permitted by applicable law, VFV will not be liable for the acts, errors, omissions, breaches, defects, delays, cost overruns, or insolvency of any third party; any consequences of decisions made by the Client; loss of use, lost profits, diminution in value, or any indirect, incidental, special, consequential, exemplary, or punitive damages; or any matter outside VFV's willful misconduct or fraud.

VFV's aggregate liability under or in connection with this Agreement will not exceed the total fees actually paid by the Client to VFV under this Agreement during the twelve (12) months preceding the event giving rise to the claim. The Parties acknowledge that this allocation of risk is a material part of the consideration for the fees.

10. INSURANCE

VFV strongly recommends, but does not require, that the Client procure and maintain builder's risk insurance in an amount at least equal to the full replacement cost of the work in place, and general liability and umbrella coverage in commercially reasonable amounts, and that the Client require the builder and each subcontractor of consequence to maintain general liability, workers' compensation, and where applicable professional liability insurance, with the Client named as an additional insured where appropriate. Any election by the Client to forgo recommended coverage is the Client's decision, and the Client assumes all risk of uninsured loss.

11. TERM AND TERMINATION

This Agreement commences on the Effective Date and continues until the earlier of issuance of the CO, mutual written agreement of the Parties, or termination under this Section. Either Party may terminate at any time on thirty (30) days' prior written notice, or immediately for cause if the other Party materially breaches this Agreement and fails to cure within fifteen (15) days after written notice.

On termination, the Client will pay VFV all fees earned through the effective date of termination, including any pro-rated portion of the then-current installment, plus any approved expenses incurred but unpaid. Sections 4, 6, 7, 8, 9, 10, 12, 13, 14, 15, and 16 survive termination.

12. INDEMNIFICATION BY CLIENT

To the maximum extent permitted by applicable law, the Client will defend, indemnify, and hold harmless VFV, its members, officers, employees, contractors, and affiliates from and against any third-party claims, losses, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or related to the Project, the acts or omissions of any third party engaged on the Project, any decision made by the Client, or the Client's breach of this Agreement. This indemnity does not extend to claims arising from VFV's own willful misconduct or fraud.

13. GOVERNING LAW; DISPUTE RESOLUTION

This Agreement is governed by the laws of the State of Texas, without regard to its conflict-of-law principles. The Parties consent to exclusive venue in the state and federal courts located in Travis County, Texas for any matter not subject to arbitration below.

If a dispute arises, the Parties will first attempt to resolve it through good-faith negotiation between senior representatives. If not resolved within thirty (30) days of written notice, the Parties will submit the matter to non-binding mediation in Travis County, Texas. If not resolved within sixty (60) days after the commencement of mediation, the dispute will be finally resolved by binding arbitration.

administered by the American Arbitration Association under its Commercial Arbitration Rules before a single arbitrator in Travis County, Texas. The prevailing Party in any action to enforce this Agreement is entitled to recover its reasonable attorneys' fees and costs.

14. NOTICES

All notices must be in writing and delivered by hand, by overnight courier with tracking, or by email with confirmation of receipt, to the addresses on the signature page. Notice by email is deemed received on the next business day after sending if not bounced back, provided that termination and breach notices must additionally be sent by hand or courier.

15. ENTIRE AGREEMENT; AMENDMENT; ASSIGNMENT

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior proposals, negotiations, and understandings. It may be amended only by a written instrument signed by both Parties. Neither Party may assign this Agreement without the other Party's prior written consent, except that VFV may assign to a successor in connection with a merger, reorganization, or sale of substantially all of its assets.

16. MISCELLANEOUS

Severability: if any provision is held unenforceable, the remaining provisions remain in full force and the unenforceable provision will be reformed to the minimum extent necessary. No waiver: a Party's failure to enforce any right is not a waiver of that right. Counterparts and electronic signatures: this Agreement may be executed in counterparts and by electronic signature, which are valid and binding. Headings are for convenience only. Force majeure: neither Party is liable for delay or failure to perform (other than payment obligations) caused by events beyond its reasonable control.

SIGNATURES

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed as of the Effective Date.

VICTORY FORMATIONS VENTURES LLC

Signature

Date

By: Gabe Jeudy-Lally, Founder
3004 Webberville Rd #2, Austin, TX 78702
gabe@victoryformationventures.com

CLIENT

Signature

Date

Printed name: _____
Address: [CLIENT ADDRESS]
Email: [CLIENT EMAIL]

CLIENT ACKNOWLEDGEMENT

By signing above, the Client acknowledges that the Client has read this Agreement in full, has had the opportunity to consult independent legal and financial advisors, understands that VFV is acting solely as the Client's Owner's Representative (and not as the builder, architect, designer, engineer, or broker on the Project), and accepts the allocation of decision-making authority and the limitations of liability set forth herein.